

Retail Research – IPO Note	IPO Note
Sector: Infrastructure	Price Band (Rs): 65 – 70
31 st July 2025	Recommendation: Avoid

Highway Infrastructure Ltd.

Company Overview:

Highway Infrastructure Ltd. (HIL) is an infrastructure development and management company engaged in the business of tollway collection, EPC infrastructure and real estate. As of May'25, the company's order book stood at Rs 666.3 cr, with orderbook of tollway collection and EPC businesses at Rs 59.5 cr and Rs 607 cr respectively. HIL operates across 11 states and 1 UT and has completed 27 tollway collection projects and is currently operating 4 projects as of May'25. In the EPC business, it has completed 66 projects, 4 projects awaiting completion certificate and 24 projects under execution as of May'25.

Key Highlights:

1. Revenue diversification: The company operates through three distinct business verticals: a) Tollway collection, b) EPC infrastructure, and c) Real estate. In its primary business vertical Tollway collection, HIL operates and manages tollway collection systems on highway projects which are procured through competitive bidding. In the EPC business, HIL caters to both public and private enterprises in executing projects of different types like roads, bridges, tanks, irrigation related construction and civil buildings etc. In the real estate business, the company owns, develops, constructs, sells commercial and residential properties.

2. Strong execution capabilities: HIL has close to 30 years of experience in running the tollway collection and EPC business in Madhya Pradesh, Gujarat, Andhra Pradesh, Punjab, Maharashtra, Telangana, Chhattisgarh, Haryana, Uttar Pradesh, Rajasthan, Odisha and Delhi. The company is one of the few toll operators to manage tollway collection based on Automatic Number Plate Recognition (ANPR) technology on the Delhi-Meerut expressway.

3. Healthy order book: As of May'25, the company's order book stood at Rs 666.3 cr, which includes orderbook for tollway collections (Rs 59.5 cr) and EPC business (Rs 606.8 cr). HIL's orderbook provides healthy revenue visibility and helps the company plan its revenue, operations and project execution.

Industry Outlook: The toll plaza management services industry is expected to witness a CAGR of 18.5% between FY24A–FY29F to reach Rs 77 bn in FY29F from Rs 33 bn in FY24. The commercial real estate construction market is expected to grow from Rs 3,745 cr in FY24A to Rs 5,124 cr by FY29F, witnessing a CAGR of 6.5% in the same period. The residential real estate construction market is expected to witness a CAGR of 6.3% between FY24A–FY29F to reach Rs 67,848 cr in FY29F from Rs 50,085 cr in FY24.

Key Risks: The company is dependent on NHAI for its tollway collection and EPC infra business, whose contracts are generally awarded for a period of one year. Further, HIL's current EPC projects are concentrated in the state of Madhya Pradesh and any slowdown in infrastructure activity in the State may adversely affect the business.

Valuation: HIL is a relatively smaller player in the infrastructure industry. Its primary business of tollway collection has shorter tenure contracts of only 1 year which exposes itself to frequent bidding and competition. Revenue concentration from the public sector clients stands at ~91% leading to elongated working capital cycle and subdued return ratios. At the upper price band of Rs 70, HIL is valued at FY25 P/E and EV/EBITDA multiples of 25.5x and 17.8x respectively on post issue capital. The low margin profile, higher working capital cycle and geographical concentration fail to justify these valuations. We recommend investors to AVOID the issue.

Issue Details	
Date of Opening	5 th August 2025
Date of Closing	7 th August 2025
Price Band (Rs)	65 – 70
Fresh Issue (Rs cr)	97.5
Offer for Sales (shares)	46,40,000
Issue Size (Rs cr)	128– 130
Issue Size (No. of shares)	1,96,43,077 – 1,85,71,429
Face Value (Rs)	5.0
Post Issue Market Cap (Rs cr)	473 – 502
BRLMs	Pantomath Capital Advisors
Registrar	Bigshare Services Pvt Ltd.
Bid Lot	211 shares and in multiples thereof
QIB shares	30%
Retail shares	40%
NIB shares	30%

Objects of Issue	
	Estimated utilization from net proceeds (Rs cr)
Funding working capital requirements of the company.	65.0
General corporate purposes	32.5
Total proceeds from fresh issue	97.5

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	5,48,71,344	95.0
Public & Others	29,17,860	5.0
Total	5,77,89,204	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	5,02,31,344	69.0
Public & Others	2,25,60,937	31.0
Total	7,27,92,281	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	5,02,31,344	70.0
Public & Others	2,14,89,289	30.0
Total	7,17,20,633	100.0

Source: RHP, SSL Research

Revenue Mix

Particulars	FY23		FY24		FY25	
	Rs cr	% of Total Revenue	Rs cr	% of Total Revenue	Rs cr	% of Total Revenue
Tollway Collection	356.5	78.3	478.3	83.4	382.4	77.1
EPC Infrastructure	94.3	20.7	92.2	16.1	105.5	21.3
Real Estate	4.4	1.0	2.9	0.5	7.8	1.6
Total	455.1	100.0	573.5	100.0	495.7	100.0

Source: RHP, SSL Research

Financial Overview

Particulars (Rs cr)	FY23	FY24	FY25	FY22-FY24 CAGR (%)
Revenue	455.1	573.5	495.7	4.4
YoY (%)	-	26.0	-13.6	-
EBITDA	27.7	38.4	31.3	6.4
YoY (%)	-	38.8	-18.5	-
Adj. PAT	11.7	19.0	19.7	29.6^
YoY (%)	-	61.9	3.7	-
EBITDA Margin (%)	6.1	6.7	6.3	-
Adj. PAT Margin (%)	2.6	3.3	4.0	-
ROE (%)	15.8	20.4	17.4	-
ROCE (%)	18.3	22.0	15.7	-
D/E (x)	0.9	0.7	0.6	-
P/E (x)	42.9	26.5	25.5	-
EV/EBITDA	20.1	14.3	17.8	-
CFO	4.2	14.2	(4.9)	-
CFI	(3.6)	(6.0)	12.0	-
CFF	(1.0)	(2.9)	(5.4)	-
FCF	1.7	10.8	(6.6)	-

*Note: P/E (x) and EV/EBITDA (x) are based on post-issue share capital @ upper price band

^ PAT CAGR higher due to higher other income (Rs 8 cr in FY25 vs Rs 3 cr in FY23).

Peer Comparison – FY25

Peer Comparison				
Particulars (Rs cr)	Highway Infrastructure Ltd.	IRB Infrastructure Developers Ltd.	H.G. Infra Engineering Ltd.	Udayshivakumar Infra Ltd.
CMP (Rs @ UB)	70	46	1,056	36
Mkt Cap (@ UB)	502	27,804	6,881	200
Revenue	496	7,613	5,056	289
EBITDA	31	3,469	1,058	3
PAT	20	999	494	-7
EBITDA Margin (%)	6.3	45.6	20.9	1.0
PAT Margin (%)	4.0	13.1	9.8	-
RoE (%)	9.4	5.0	16.8	-
P/E (x)	25.5	27.8	13.9	-
EV/EBITDA (x)	17.8	13.0	10.2	79.6

- For Highway Infrastructure Ltd, financials based on FY25 data and the Market Cap, EV/EBITDA (x) & P/E (x) are calculated on post-issue equity capital at the upper price band.
- CMP of peer companies is as of 30th July, 2025.
- Source: RHP, SSL Research.

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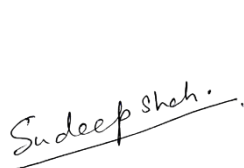
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